CHAPTER 7:
BUSINESS REGULATIONS & SUPPORT SYSTEM

LEARNING OUTCOMES

1. Explain business regulations required for a business
2. Identify various business support systems available to entrepreneurs

INTRODUCTION

- Business regulations and support systems are part and parcel of any business.
- Entrepreneurs should be aware and understand what business regulations mean and how it will give impact to the business in the long run and need to know the availability of a business support system that can help them the survival of a business.

BUSINESS REGULATIONS

- Law or rules prescribed by the authority that governs business organizations.
- Important to ensure businesses are conducted in the right manner and ethically as well as part of the control mechanism by the government.
- https://youtu.be/a-pc6pdi_XQ?si=eoHmVml5up-sx3MI

BUSINESS REGULATIONS

1. Approval & Licensing
2. Employment Policies & Regulations
3. Taxation

Approval & Licensing

License and Permit for Selected Business			
Manufacturing	**Restaurant**	**Nursery**	**Construction**
Manufacturing License	Trade License	Trade License	Construction License
No Objection Letter for the location of project	Approval Certificate of Food Handling	Approval Certificate of attendance from Persatuan Tadika Malaysia	Green Card from CIDB
Approval for Planning Permission	TY2 Injection for Owner and Workers	Approval for business operations from Department of Education	Technical Certificate from Higher Institution
Approval for Building Permission	Approval from Fire and Rescue Department of Malaysia (BOMBA)	Approval for business operations from Jabatan Kebajikan Masyarakat	Letter of Acceptance for Tender
Approval for Certificate of Fitness	Certificate of Registration for Food Premise from Regional Health Department	Certificate of Food Handling	Approval of Equipment Rental
Approval for Business Related Licenses		TY2 Injection for Owner and Workers	Approval for Business Related Licenses
Approval for Environmental Control			Approval for Environmental Control
Approval for Safety and Health			Approval for Safety and Health

Employment Policies & Regulations

- Employment Act 1955
- Employer Provident Fund
- Social Security Organisation
- Occupational Safety and Health
- Employment of Foreign Workers

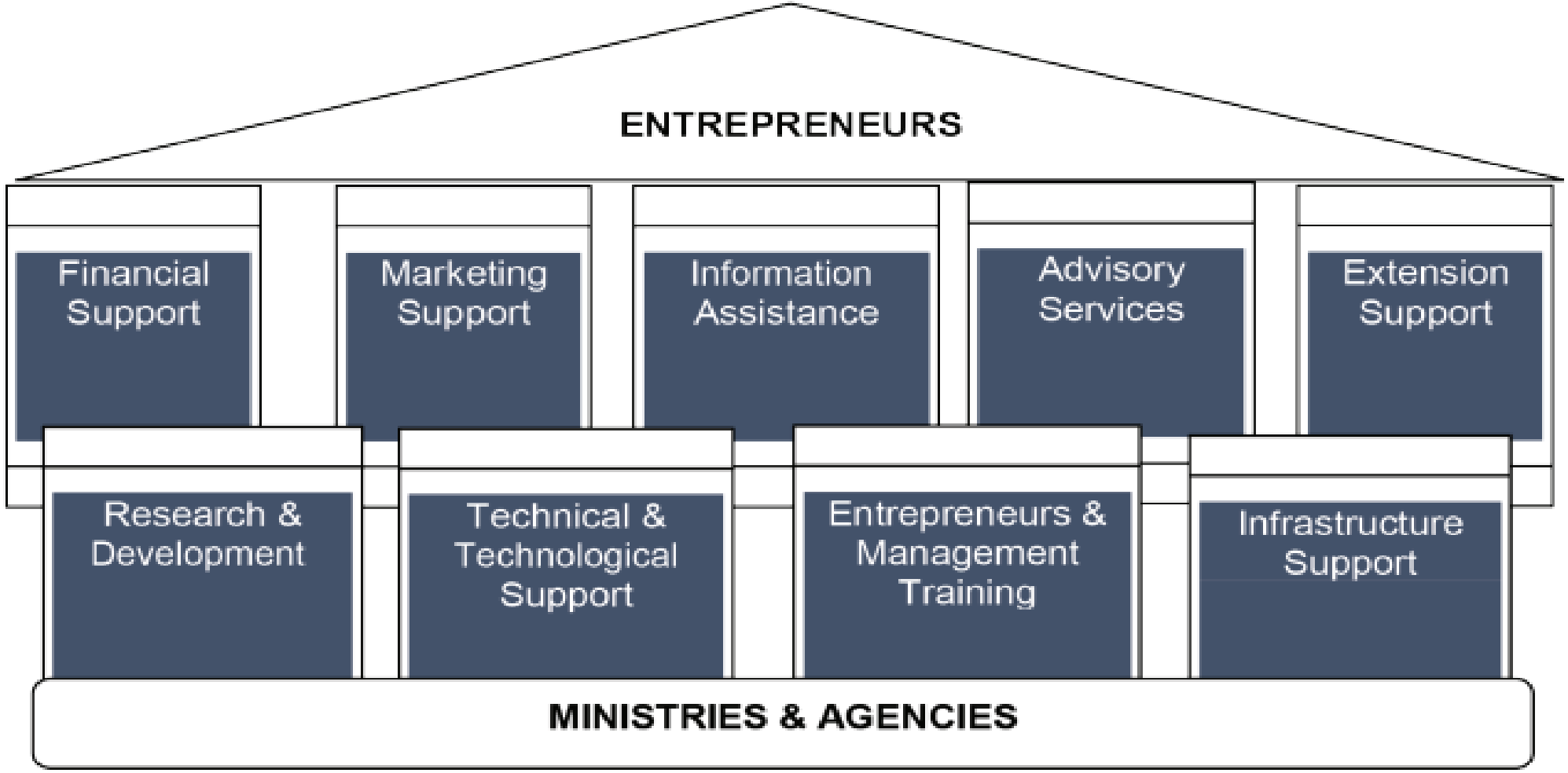
TAXATION

- Company Tax
- Personal Tax
- Sales Tax
- Service Tax

BUSINESS SUPPORT SYSTEM

- Aid or assistance provided by the government and other private agencies to existing and new entrepreneurs to help entrepreneurs to start a new business or to develop an existing one.
- An entrepreneur who is in the process of starting a new venture usually appreciates entrepreneurial guidance, assistance and support and makes an attempt to find a good package for his business.

BUSINESS SUPPORT SYSTEM



Financial Assistance

Agency	Services offered
Tabung Ekonomi Kumpulan Usaha Niaga (TEKUN)	Provides assistance in the form of financing schemes such as small loan and medium loan scheme.
Perbadanan Usahawan Nasional Berhad (PUNB)	Provides various entrepreneurs schemes for entrepreneurs who want to start a retail business.
Commercial Banks	Provides financing for initial working capital or any others related facilities (ie. bank guarantee and bank draft).
Bank Pembangunan Malaysia Berhad	Provides financing to existing and new enterprises in support of development of high technology, infrastructure, maritime, oil & gas sectors.

Marketing Assistance

Agency	Services offered
Malaysian External Trade Development Corporation (MATRADE)	Informs entrepreneurs if there are any business opportunities internationally.
Ministry of International Trade and Industry (MITI)	In charge of affairs related to foreign trade, high technology and industrial location.
Federal Agriculture Marketing Authority (FAMA)	Promotes agriculture products locally and abroad.

Information, Infrastructure & Advisory

Agency	Services offered
Malaysian Palm Oil Board (MPOB)	Technical Advisory Services.
Department of Agriculture (DOA)	Consultancy and follow up on entrepreneurial training and development programme.
Malaysian Industrial Development Authority (MIDA)	Provides information on business opportunities such as investment and trade to manufacturing and service sectors.
Malaysia External Trade and Development Corporation (MATRADE)	Organises training programmes to improve the international marketing skills of Malaysian Exporters.
Small and Medium Corporation Malaysia (SME Corp)	Provides business advisory through the "SME Business Centre". Also disseminate information on government funds and incentives on SMEs.

Research & Development

Agency	Services offered
Malaysian Palm Oil Board (MPOB)	Develops quality products using the latest technological advancement.
Malaysian Agricultural Research and Development Institute (MARDI)	Carries out research on the output of agricultural products to improve quality.
Standard and Industrial Research Institute of Malaysia (SIRIM Berhad)	Adds values in developing new technologies to the products.

Technology & Technological Assistance

Agency	Services offered
Malaysian Institute of Microelectronic System (MIMOS)	Promotes innovation in information technology.
Standard and Industrial Research Institute of Malaysia (SIRIM Berhad)	Informs an entrepreneur if there are any new machines or technology to help entrepreneurs to compete better in terms of product quality and innovation.
Malaysian Agricultural Research and Development Institute (MARDI)	Develops indigenous science and technology capabilities in support of development and modernisation of the national food and agriculture sectors.

Entrepreneurs & Management

Agency	Services offered
Majlis Amanah Rakyat (MARA)	Provides training and guidance to entrepreneurs i.e. soft skills and technical knowledge.
Malaysian Academy of SME & Entrepreneurship Development (MASMED)	Offers services such as training, education and consultancy to entrepreneurs.
Institut Keusahawanan Negara (INSKEN)	Provides related training, guidance, counselling and consultancy services to entrepreneurs to develop knowledge and skills for existing and new entrepreneurs.
National Productivity Corporation (NPC)	Provides development of human capital through related training in building knowledge based society through partnership programmes.

SUMMARY

- Before starting up a business, an entrepreneur must have information about the business regulations that need to be adhered.
- Government and Ministries have set up various agencies to assist entrepreneurs in terms of advisory services, financial services, technical services, marketing support, research and development and many more.



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